Refers to the dangers of over-exploitation of resources due to lack of property rights over them (‘commons’ are the resources neither owned privately nor by the state but are open for free use by all). A rationing or imposing of levy on such resources as a check.

The concept was proposed by a 19th-century amateur mathematician William Forster Lloyd.

TRANSFER PAYMENTS

The expenditure by the government for which it receives no goods or services. For example, the expenditures on tax collection, social sector, unemployment allowance, etc.

As such expenditures are not done against any products they are not counted in the national income of the economy.

TRANSFER EARNINGS

The return that an asset must earn to prevent its transfer to the next best alternative use. Any earning above the transfer earnings is known as its *‘economic rent’*.

TRANSFER PRICE

A term of international economics via which an MNC charges lesser prices for its exportables to its arm in another economy where tax rates are high, for increasing income. The East India Company did it heavily in pre-independent India.

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